Valuation of Eicher Motors

1. Introduction

The purpose of this project is to estimate the intrinsic value of Eicher Motors using the Discounted Cash Flow (DCF) method. DCF is a financial valuation technique that calculates the present value of expected future cash flows

2. Objective

- To analyze financial performance of the company
- To calculate Weighted Average Cost of Capital (WACC)
- To estimate intrinsic share value
- To compare intrinsic value with market price

3. Company Overview

Eicher Motors is a leading automobile company known for Royal Enfield motorcycles and its joint venture in commercial vehicles. The company operates in the premium segment and has shown consistent growth.

4. Industry Analysis

The automobile industry is growing due to rising income levels and increasing demand for premium vehicles. Key competitors include Bajaj Auto, Hero MotoCorp, and TVS Motors. The industry is also moving towards electric vehicles.

5. Financial Analysis

The company shows:

- Strong revenue growth
- Increasing EBIT margins
- Low debt levels
- Efficient capital utilization (ROE/ROIC)

WACC Calculation

6. The calculated WACC is 17.56%, which represents the required rate of return for investors.

6.1 Cost of Equity (Ke): 18.35%, calculated using CAPM with Beta (1.20) derived from peer companies (Bajaj Auto, TVS Motor, Hero MotoCorp), indicating higher market risk.

6.2 Cost of Debt (Kd): 4.47% (after tax), computed from pre-tax cost of 6.38% adjusted for 30% tax, making debt a cheaper source of finance.

DCF Valuation

7.1 Free Cash Flow (FCF)

FCF is calculated using:
EBIT × (1 – Tax Rate) – Reinvestment

7.2 Assumptions

- WACC: 17.56%
- Terminal Growth Rate: ~5.8% As Per RBI Rate
- Forecast Period: 5 years
- Mid-year convention applied

7.3 Forecasting:-

Future cash flows were projected based on historical trends.

7.4 Discounting:-

Cash flows were discounted using:
1 / (1 + WACC)^n

7.5 Terminal Value:-

Terminal value was calculated to estimate long-term value beyond forecast period.

7.6 Final Valuation

Enterprise value and equity value were calculated, leading to intrinsic share price estimation.

8. Results & Interpretation

The intrinsic value calculated using DCF is lower than the current market price, indicating that the stock is **overvalued** or assumptions may be conservative.

9. Conclusion

Eicher Motors has strong Fundamentals, but valuation suggests high market expectations. DCF results are sensitive to assumptions like WACC and growth rate.

Historical Financial Statement - EICHER MOTORS LTD										
Years	**Mar-16**	**Mar-17**	**Mar-18**	**Mar-19**	**Mar-20**	**Mar-21**	**Mar-22**	**Mar-23**	**Mar-24**	**Mar-25**
Income Statement										
Sales	**₹ 6,173.5**	**₹ 7,033.4**	**₹ 8,965.0**	**₹ 9,797.1**	**₹ 9,153.6**	**₹ 8,720.4**	**₹ 10,297.8**	**₹ 14,442.2**	**₹ 16,535.8**	**₹ 18,870.4**
Sales Growth	-	*13.93%*	*27.46%*	*9.28%*	*-6.57%*	*-4.73%*	*18.09%*	*40.24%*	*14.50%*	*14.12%*
COGS	₹ 4,005.8	₹ 4,351.5	₹ 5,482.1	₹ 6,092.4	₹ 6,113.9	₹ 6,261.0	₹ 7,167.9	₹ 9,689.9	₹ 10,701.0	₹ 12,241.1
COGS %of Sales	*64.89%*	*61.87%*	*61.15%*	*62.19%*	*66.79%*	*71.80%*	*69.61%*	*67.09%*	*64.71%*	*64.87%*
Gross Profit	**₹ 2,167.63**	**₹ 2,681.86**	**₹ 3,482.91**	**₹ 3,704.69**	**₹ 3,039.69**	**₹ 2,459.34**	**₹ 3,129.93**	**₹ 4,752.28**	**₹ 5,834.80**	**₹ 6,629.24**
Gross Margin	*35.11%*	*38.13%*	*38.85%*	*37.81%*	*33.21%*	*28.20%*	*30.39%*	*32.91%*	*35.29%*	*35.13%*
Selling & General Expenses	₹ 477.90	₹ 507.55	₹ 674.28	₹ 800.45	₹ 856.80	₹ 676.11	₹ 952.36	₹ 1,306.56	₹ 1,505.43	₹ 1,906.67
EBIDTA	**₹ 1,689.7**	**₹ 2,174.3**	**₹ 2,808.6**	**₹ 2,904.2**	**₹ 2,182.9**	**₹ 1,783.2**	**₹ 2,177.6**	**₹ 3,445.7**	**₹ 4,329.4**	**₹ 4,722.6**
EBIDTA Margin	*27.37%*	*30.91%*	*31.33%*	*29.64%*	*23.85%*	*20.45%*	*21.15%*	*23.86%*	*26.18%*	*25.03%*
Intreste	2.12	3.56	5.34	7.33	18.88	16.45	18.78	28.02	50.88	54.34
Intreste%of sales	*0.03%*	*0.05%*	*0.06%*	*0.07%*	*0.21%*	*0.19%*	*0.18%*	*0.19%*	*0.31%*	*0.29%*
Depreciation	136.6	153.81	223.3	300.28	381.54	450.73	451.93	526.21	597.6	729.33
Depreciation%of sales	*2.21%*	*2.19%*	*2.49%*	*3.07%*	*4.17%*	*5.17%*	*4.39%*	*3.64%*	*3.61%*	*3.86%*
Earning Before Intreste and Tax	**₹ 1,553.1**	**₹ 2,020.5**	**₹ 2,585.3**	**₹ 2,604.0**	**₹ 1,801.4**	**₹ 1,332.5**	**₹ 1,725.6**	**₹ 2,919.5**	**₹ 3,731.8**	**₹ 3,993.2**
EBIT % OF SALES	*25.16%*	*28.73%*	*28.84%*	*26.58%*	*19.68%*	*15.28%*	*16.76%*	*20.22%*	*22.57%*	*21.16%*
Earing Before Tax	₹ 1,551.0	₹ 2,016.9	₹ 2,580.0	₹ 2,596.6	₹ 1,782.5	₹ 1,316.1	₹ 1,706.9	₹ 2,891.5	₹ 3,680.9	₹ 3,938.9
EBT % of sales	*25.12%*	*28.68%*	*28.78%*	*26.50%*	*19.47%*	*15.09%*	*16.57%*	*20.02%*	*22.26%*	*20.87%*
Other Income	₹ 325.9	₹ 416.4	₹ 535.7	₹ 700.7	₹ 572.4	₹ 482.3	₹ 495.7	₹ 908.1	₹ 1,521.1	₹ 1,994.2
Other Income % Of sales	*5.28%*	*5.92%*	*5.98%*	*7.15%*	*6.25%*	*5.53%*	*4.81%*	*6.29%*	*9.20%*	*10.57%*
Tax	₹ 538.9	₹ 720.3	₹ 935.9	₹ 1,077.0	₹ 527.5	₹ 451.5	₹ 525.9	₹ 885.7	₹ 1,201.0	₹ 1,198.6
Effective Tax Rate	*28.71%*	*29.60%*	*30.04%*	*32.66%*	*22.40%*	*25.11%*	*23.88%*	*23.31%*	*23.09%*	*20.20%*
Net Profit (PAT)	**₹ 1,338.0**	**₹ 1,713.1**	**₹ 2,179.7**	**₹ 2,220.3**	**₹ 1,827.4**	**₹ 1,346.9**	**₹ 1,676.6**	**₹ 2,913.9**	**₹ 4,001.0**	**₹ 4,734.4**
Net Profit %of Sales	*21.67%*	*24.36%*	*24.31%*	*22.66%*	*19.96%*	*15.45%*	*16.28%*	*20.18%*	*24.20%*	*25.09%*
No of Equity Shares	27.16	27.21	27.26	27.28	27.31	27.33	27.34	27.35	27.38	27.42
Earning Per Share(EPS)	₹ 49.3	₹ 63.0	₹ 80.0	₹ 81.4	₹ 66.9	₹ 49.3	₹ 61.3	₹ 106.5	₹ 146.1	₹ 172.7
EPS Growth		*27.79%*	*27.01%*	*1.78%*	*-17.78%*	*-26.35%*	*24.43%*	*73.74%*	*37.16%*	*18.16%*
Dividend Per shares	₹ 271.6	₹ 272.1	₹ 299.9	₹ 341.0	₹ 341.3	₹ 464.6	₹ 574.1	₹ 1,012.0	₹ 1,396.4	₹ 1,919.4
Dividend Peyout % of PAT	*20.30%*	*15.88%*	*13.76%*	*15.36%*	*18.67%*	*34.50%*	*34.24%*	*34.73%*	*34.90%*	*40.54%*
Retained Earing	***79.70%***	***84.12%***	***86.24%***	***84.64%***	***81.33%***	***65.50%***	***65.76%***	***65.27%***	***65.10%***	***59.46%***

Common Size Statement

Perticular	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Sales	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
COGS	64.89%	61.87%	61.15%	62.19%	66.79%	71.80%	69.61%	67.09%	64.71%	64.87%
Gross Profit	**35.11%**	**38.13%**	**38.85%**	**37.81%**	**33.21%**	**28.20%**	**30.39%**	**32.91%**	**35.29%**	**35.13%**
Selling & General Expenses	7.74%	7.22%	7.52%	8.17%	9.36%	7.75%	9.25%	9.05%	9.10%	10.10%
EBIDTA	**27.37%**	**30.91%**	**31.33%**	**29.64%**	**23.85%**	**20.45%**	**21.15%**	**23.86%**	**26.18%**	**25.03%**
Intreste	0.03%	0.05%	0.06%	0.07%	0.21%	0.19%	0.18%	0.19%	0.31%	0.29%
Depreciation	2.21%	2.19%	2.49%	3.07%	4.17%	5.17%	4.39%	3.64%	3.61%	3.86%
Earning Before Intreste and Tax	**25.16%**	**28.73%**	**28.84%**	**26.58%**	**19.68%**	**15.28%**	**16.76%**	**20.22%**	**22.57%**	**21.16%**
Earing Before Tax	25.12%	28.68%	28.78%	26.50%	19.47%	15.09%	16.57%	20.02%	22.26%	20.87%
Other Income	5.28%	5.92%	5.98%	7.15%	6.25%	5.53%	4.81%	6.29%	9.20%	10.57%
Tax	8.73%	10.24%	10.44%	10.99%	5.76%	5.18%	5.11%	6.13%	7.26%	6.35%
Net Profit (PAT)	**21.67%**	**24.36%**	**24.31%**	**22.66%**	**19.96%**	**15.45%**	**16.28%**	**20.18%**	**24.20%**	**25.09%**

Balace Sheet										
Equity Share Capital	27.16	27.21	27.26	27.28	27.3	27.33	27.34	27.35	27.38	27.42
Reserves	3625.93	5317.86	7002.81	8891.44	9953.63	11410.75	12580.66	14962.93	18018.15	21269.07
Borrowings	22.57	111.85	150.84	186.76	249	219.25	107.71	288.41	419.44	458.13
Other Liabilities	1263.35	1552.16	2341.32	2281.35	2219.79	2901.28	3424.12	3918.95	4650.16	5419.79
Total Liabilities	**4939.01**	**7009.08**	**9522.23**	**11386.83**	**12449.72**	**14558.61**	**16139.83**	**19197.64**	**23115.13**	**27174.41**
Fix Assets Net Block	789.59	872.78	1501.69	1874.58	2377.52	2433.3	2424.28	2689.99	2914.38	3473.47
Capital Work in Progress	94.48	373.77	333.21	449.74	312.17	314.29	504.78	472.07	555.1	491.47
Investments	3388.24	4987.13	5580.84	4922.52	5748.77	3902.14	7720.58	12320.66	13526.96	14790.9
Other Assets	666.7	775.4	2106.49	4139.99	4011.26	7908.88	5490.19	3714.92	6118.69	8418.57
Total Non- Current Assets	*4548.81*	*6598.08*	*7847.59*	*7703.87*	*8840.02*	*7695.49*	*11982.92*	*16784.7*	*21185.4*	*24798.01*
Receivables	32.64	50.04	68	84.29	86.76	158.16	302.04	368.92	373.78	549.64
Inventory	308.39	335.9	394.64	633.38	572.35	874.6	1132.4	1278.44	1409.64	1563.75
Cash & Bank	49.17	25.06	1212	2965.29	2950.59	5830.36	2722.47	765.58	146.31	263.01
Total Current Assets	***390.2***	***411***	***1674.64***	***3682.96***	***3609.7***	***6863.12***	***4156.91***	***2412.94***	***1929.73***	***2376.4***
Total Assets	**4939.01**	**7009.08**	**9522.23**	**11386.83**	**12449.72**	**14558.61**	**16139.83**	**19197.64**	**23115.13**	**27174.41**
Check	*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*

Cash Flow Statement										
Operating Activity										
Profit from operations	₹ 1,719.0	₹ 2,196.0	₹ 2,851.0	₹ 2,941.0	₹ 2,236.0	₹ 1,912.0	₹ 2,172.0	₹ 3,527.0	₹ 4,404.0	₹ 4,849.0
Receivables	(₹ -22.0)	(₹ -17.0)	(₹ -18.0)	(₹ -18.0)	-	(₹ -73.0)	(₹ -147.0)	(₹ -59.0)	(₹ -5.0)	(₹ -176.0)
Inventory	(₹ -104.0)	(₹ -28.0)	(₹ -59.0)	(₹ -239.0)	₹ 61.0	(₹ -302.0)	(₹ -258.0)	(₹ -146.0)	(₹ -131.0)	(₹ -154.0)
Payables	₹ 241.0	₹ 110.0	₹ 407.0	₹ 62.0	(₹ -235.0)	₹ 495.0	₹ 283.0	₹ 22.0	₹ 304.0	₹ 440.0
Loans Advances	(₹ -12.0)	₹ 6.0	-	(₹ -1.0)	₹ 1.0	-	-	-	-	-
Other WC items	₹ 160.0	₹ 92.0	₹ 109.0	(₹ -262.0)	₹ 259.0	₹ 115.0	(₹ -10.0)	₹ 249.0	₹ 220.0	₹ 101.0
Working capital changes	₹ 263.0	₹ 163.0	₹ 438.0	(₹ -457.0)	₹ 86.0	₹ 235.0	(₹ -131.0)	₹ 66.0	₹ 388.0	₹ 211.0
Direct taxes	(₹ -519.0)	(₹ -652.0)	(₹ -807.0)	(₹ -908.0)	(₹ -628.0)	(₹ -457.0)	(₹ -514.0)	(₹ -770.0)	(₹ -1,068.0)	(₹ -1,080.0)
Cash from Operating Activity (A)	**₹ 1,726.0**	**₹ 1,870.0**	**₹ 2,921.0**	**₹ 1,118.0**	**₹ 1,780.0**	**₹ 1,925.0**	**₹ 1,395.0**	**₹ 2,889.0**	**₹ 4,112.0**	**₹ 4,191.0**
Investing Activity										
Fixed assets purchased	(₹ -510.0)	(₹ -548.0)	(₹ -748.0)	(₹ -792.0)	(₹ -546.0)	(₹ -532.0)	(₹ -641.0)	(₹ -682.0)	(₹ -819.0)	(₹ -1,039.0)
Fixed assets sold	₹ 1.0	₹ 1.0	₹ 3.0	₹ 2.0	₹ 1.0	₹ 17.0	₹ 2.0	₹ 9.0	₹ 4.0	₹ 11.0
Investments purchased	(₹ -662.0)	(₹ -4,247.0)	(₹ -6,464.0)	(₹ -7,929.0)	(₹ -8,746.0)	(₹ -3,983.0)	(₹ -7,134.0)	(₹ -9,103.0)	(₹ -6,106.0)	(₹ -6,939.0)
Investments sold	₹ 158.0	₹ 3,051.0	₹ 6,124.0	₹ 9,051.0	₹ 8,176.0	₹ 5,971.0	₹ 3,500.0	₹ 5,080.0	₹ 5,968.0	₹ 6,826.0
Interest received	₹ 4.0	₹ 3.0	₹ 12.0	₹ 90.0	₹ 204.0	₹ 192.0	₹ 398.0	₹ 204.0	₹ 112.0	₹ 188.0
Dividends received	₹ 107.0	-	₹ 52.0	₹ 65.0	₹ 68.0	-	₹ 27.0	₹ 41.0	₹ 95.0	₹ 136.0
Investment in group cos	(₹ -109.0)	(₹ -39.0)	(₹ -16.0)	(₹ -30.0)	(₹ -1.0)	-	-	-	-	-
Other investing items	₹ 9.0	₹ 36.0	(₹ -1,106.0)	(₹ -1,117.0)	(₹ -665.0)	(₹ -3,290.0)	₹ 2,864.0	₹ 2,055.0	(₹ -2,089.0)	(₹ -1,643.0)
Cash from Investing Activity (B)	**(₹ -1,002.0)**	**(₹ -1,743.0)**	**(₹ -2,143.0)**	**(₹ -660.0)**	**(₹ -1,509.0)**	**(₹ -1,625.0)**	**(₹ -984.0)**	**(₹ -2,396.0)**	**(₹ -2,835.0)**	**(₹ -2,460.0)**
Cash from Financing Activity										
Proceeds from shares	₹ 5.0	₹ 6.0	₹ 19.0	₹ 36.0	₹ 29.0	₹ 38.0	₹ 6.0	₹ 11.0	₹ 47.0	₹ 97.0
Proceeds from borrowings	-	₹ 389.0	₹ 495.0	₹ 369.0	₹ 267.0	₹ 40.0	₹ 32.0	₹ 202.0	₹ 322.0	₹ 38.0
Repayment of borrowings	-	(₹ -345.0)	(₹ -456.0)	(₹ -344.0)	(₹ -298.0)	(₹ -27.0)	(₹ -137.0)	(₹ -20.0)	(₹ -127.0)	(₹ -43.0)
Interest paid fin	(₹ -2.0)	(₹ -2.0)	(₹ -3.0)	(₹ -5.0)	(₹ -8.0)	(₹ -16.0)	(₹ -19.0)	(₹ -18.0)	(₹ -35.0)	(₹ -37.0)
Dividends paid	(₹ -407.0)	-	(₹ -272.0)	(₹ -300.0)	(₹ -682.0)	-	(₹ -465.0)	(₹ -574.0)	(₹ -1,013.0)	(₹ -1,397.0)
Financial liabilities	-	-	-	-	(₹ -40.0)	(₹ -39.0)	(₹ -17.0)	(₹ -19.0)	(₹ -37.0)	(₹ -56.0)
Other financing items	(₹ -61.0)	(₹ -23.0)	(₹ -45.0)	(₹ -48.0)	(₹ -126.0)	(₹ -11.0)	₹ 5.0	-	-	-
Cash from Financing Activity ©	**(₹ -465.0)**	**₹ 25.0**	**(₹ -262.0)**	**(₹ -292.0)**	**(₹ -858.0)**	**(₹ -15.0)**	**(₹ -595.0)**	**(₹ -418.0)**	**(₹ -843.0)**	**(₹ -1,398.0)**
Net Cash Flow (A+B+C)	**259**	**152**	**516**	**166**	**-587**	**285**	**-184**	**75**	**434**	**333**

Historical Financial Statement - EICHER MOTORS LTD - Ratio Analysis

Years	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Trend	Mean	Median
Sales Growth		13.93%	27.46%	9.28%	-6.57%	-4.73%	18.09%	40.24%	14.50%	14.12%		14.0%	14.1%
EBITDA Growth		28.68%	29.17%	3.40%	-24.84%	-18.31%	22.11%	58.24%	25.64%	9.08%		14.8%	22.1%
EBIT Growth		30.04%	27.92%	0.64%	-31.35%	-26.17%	29.70%	69.40%	27.30%	7.01%		14.9%	27.3%
Net Profit Growth		28.03%	27.24%	1.86%	-17.69%	-26.30%	24.48%	73.80%	37.31%	18.33%		18.6%	24.5%
Dividend Growth		0.18%	10.20%	13.72%	0.07%	36.15%	23.57%	76.25%	37.99%	37.46%		26.2%	23.6%
Gross Margin	35.11%	38.13%	38.85%	37.81%	33.21%	28.20%	30.39%	32.91%	35.29%	35.13%		34.5%	35.1%
EBITDA Margin	27.37%	30.91%	31.33%	29.64%	23.85%	20.45%	21.15%	23.86%	26.18%	25.03%		26.0%	25.6%
EBIT Margin	25.16%	28.73%	28.84%	26.58%	19.68%	15.28%	16.76%	20.22%	22.57%	21.16%		22.5%	21.9%
EBT Margin	25.12%	28.68%	28.78%	26.50%	19.47%	15.09%	16.57%	20.02%	22.26%	20.87%		22.3%	21.6%
Net Profit Margin	21.67%	24.36%	24.31%	22.66%	19.96%	15.45%	16.28%	20.18%	24.20%	25.09%		21.4%	22.2%
SalesExpenses%Sales	7.74%	7.22%	7.52%	8.17%	9.36%	7.75%	9.25%	9.05%	9.10%	10.10%		8.5%	8.6%
Depreciation%Sales	2.21%	2.19%	2.49%	3.07%	4.17%	5.17%	4.39%	3.64%	3.61%	3.86%		3.5%	3.6%
OperatingIncome%Sales	25.16%	28.73%	28.84%	26.58%	19.68%	15.28%	16.76%	20.22%	22.57%	21.16%		22.5%	21.9%
Return on Capital Employed	42.25%	37.03%	36.00%	28.60%	17.61%	11.43%	13.57%	19.11%	20.21%	18.36%		24.4%	19.7%
Retained Earnings%	79.70%	84.12%	86.24%	84.64%	81.33%	65.50%	65.76%	65.27%	65.10%	59.46%		73.7%	72.7%
Return on Equity%	36.63%	32.05%	31.01%	24.89%	18.31%	11.78%	13.30%	19.44%	22.17%	22.23%		23.2%	22.2%
Self Sustained Growth Rate	29.19%	26.96%	26.74%	21.07%	14.89%	7.71%	8.74%	12.69%	14.43%	13.22%		17.6%	14.7%
Interest Coverage Ratio	733x	568x	484x	355x	95x	81x	92x	104x	73x	73x		266x	100x
Debtor Turnover Ratio	0.53%	0.71%	0.76%	0.86%	0.95%	1.81%	2.93%	2.55%	2.26%	2.91%		1.6%	1.4%
Creditor Turnover Ratio	20.46%	22.07%	26.12%	23.29%	24.25%	33.27%	33.25%	27.14%	28.12%	28.72%		26.7%	26.6%
Inventory Turnover	5.00%	4.78%	4.40%	6.47%	6.25%	10.03%	11.00%	8.85%	8.52%	8.29%		7.4%	7.4%
Fixed Asset Turnover	12.79%	12.41%	16.75%	19.13%	25.97%	27.90%	23.54%	18.63%	17.62%	18.41%		19.3%	18.5%
Capital Turnover Ratio	59.17%	76.00%	78.42%	91.03%	109.04%	131.17%	122.43%	103.80%	109.13%	112.86%		99.3%	106.4%
Debtor Days	11x	7x	5x	4x	4x	2x	1x	1x	1x	1x		4x	3x
Payable Days	0x	0x	0x	0x	0x	0x	0x	0x	0x	0x		0x	0x
Inventory Days	1x	1x	1x	1x	1x	0x	0x	0x	0x	0x		1x	0x
days)	7x	15x	0x	0x	0x	0x	0x	0x	2x	1x		3x	0x
CFO/Sales	27.96%	26.59%	32.58%	11.41%	19.45%	22.07%	13.55%	20.00%	24.87%	22.21%		22.1%	22.1%
CFO/Total Assets	34.95%	26.68%	30.68%	9.82%	14.30%	13.22%	8.64%	15.05%	17.79%	15.42%		18.7%	15.2%
CFO/Total Debt	7647.32%	1671.88%	1936.49%	598.63%	714.86%	877.99%	1295.14%	1001.70%	980.35%	914.81%		1763.9%	991.0%

EICHER MOTORS LTD - Sales FORCASTING

Year Weighted	Years	Sales	Sales Growth
1	2016A	₹ 6,173.5	
2	2017A	₹ 7,033.4	13.93%
3	2018A	₹ 8,965.0	27.46%
4	2019A	₹ 9,797.1	9.28%
5	2020A	₹ 9,153.6	-6.57%
6	2021A	₹ 8,720.4	-4.73%
7	2022A	₹ 10,297.8	18.09%
8	2023A	₹ 14,442.2	40.24%
9	2024A	₹ 16,535.8	14.50%
10	2025A	₹ 18,870.4	14.12%
11	2026E	₹ 16,705.5	-11.47%
12	2027E	₹ 17,973.7	7.59%
13	2028E	₹ 19,241.8	7.06%
14	2029E	₹ 20,510.0	6.59%
15	2030E	₹ 21,778.1	6.18%

EICHER MOTORS LTD - EBIDTA FORCASTING

Year Weighted	Years	Sales	Sales Growth
1	2016A	₹ 1,689.7	
2	2017A	₹ 2,174.3	28.68%
3	2018A	₹ 2,808.6	29.17%
4	2019A	₹ 2,904.2	3.40%
5	2020A	₹ 2,182.9	-24.84%
6	2021A	₹ 1,783.2	-18.31%
7	2022A	₹ 2,177.6	22.11%
8	2023A	₹ 3,445.7	58.24%
9	2024A	₹ 4,329.4	25.64%
10	2025A	₹ 4,722.6	9.08%
11	2026E	₹ 3,994.2	-15.42%
12	2027E	₹ 4,254.7	6.52%
13	2028E	₹ 4,515.2	6.12%
14	2029E	₹ 4,775.8	5.77%
15	2030E	₹ 5,036.3	5.46%

WACC- Weighted Average Cost of Capital

Peer Comparable WACC

Weekly - Two Year Range

Name of The co	Country	Total Debt	Total Equity	Tax Rate [1]	Debt/ Equity	Debt / Capital	levered Beta [2]	Unlevered Beta [3]
Bajaj Auto	India	19,693.2	2,75,722.4	30.00%	7.14%	6.67%	1.27	1.21
Eicher Motors	India	445.8	1,95,532.5	30.00%	0.23%	0.23%	0.97	0.97
TVS Motor Co.	India	31,589.3	1,79,587.7	30.00%	17.59%	14.96%	1.40	1.25
Hero Motocorp	India	718.1	1,05,745.5	30.00%	0.68%	0.67%	1.10	1.09
			Average	**30.00%**	**6.41%**	**5.63%**	**1.19**	**1.13**
			Median	**30.00%**	**3.91%**	**3.67%**	**1.19**	**1.15**

Cost of Debt

Pre-Tax Cost of Debt	6.38%
Tax rate	30.00%
Post Tax Cost of Debt	**4.47%**

Cost Of Equity

Risk Free Rate	6.86%
Equity Risk Premium	9.57%
Levered Beta [4]	1.20
Cost Of Equity	**18.35%**

Capital Structure

		Current	Target
Total Debt	445.8	0.23%	5.63%
Market Capitali:	1,95,532.5	99.77%	94.37%
Total Capital	195978.31	100.00%	100.00%
Debt / Equity		**0.23%**	**5.97%**

Levered Beta

Comps Median Unlevered Beta	1.15
Target Debt/Equity	5.97%
Tax Rate	30%
Levered Beta	**1.20**

Weighted Average Cost of Capital

Cost of Equity	18.35%
Equity Weight	94.37%
Cost of Debt	4.47%
Debt Weight	5.63%
WACC	**17.56%**

Intrinsic Growth Rate (IGR) Calculation

Particulars	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Calculation of ROIC						
Current Assets						
Inventories	572.0	875.0	1,132.0	1,278.0	1,410.0	1,564.0
Trade receivables	87.0	158.0	302.0	369.0	374.0	550.0
Loans n Advances	99.0	594.0	867.0	835.0	680.0	725.0
Other asset items	303.0	452.0	466.0	467.0	3,509.0	5,317.0
Total Current Assets	**1,061.0**	**2,079.0**	**2,767.0**	**2,949.0**	**5,973.0**	**8,156.0**
Current Liblities						
Trade Payables	1,008.0	1,513.0	1,788.0	1,810.0	2,090.0	2,530.0
Advance from Customers	61.0	137.0	148.0	126.0	-	-
Other liability items	1,151.0	1,251.0	1,488.0	1,982.0	2,560.0	2,890.0
Total Current Assets	**2,220.0**	**2,901.0**	**3,424.0**	**3,918.0**	**4,650.0**	**5,420.0**
Net Working Capital	**(1,159.0)**	**(822.0)**	**(657.0)**	**(969.0)**	**1,323.0**	**2,736.0**
Fixed Assets -						
Land	182.0	232.0	230.0	230.0	227.0	226.0
Building	871.0	866.0	867.0	1,051.0	1,086.0	1,396.0
Plant Machinery	1,928.0	2,088.0	2,336.0	2,598.0	2,744.0	3,055.0
Equipments	188.0	204.0	226.0	266.0	231.0	273.0
Furniture n fittings	34.0	38.0	37.0	39.0	42.0	44.0
Vehicles	81.0	97.0	122.0	137.0	180.0	224.0
Intangible Assets	-	-	-	-	-	-
Other fixed assets	301.0	523.0	588.0	820.0	1,177.0	1,501.0
Gross Block	**3,585.0**	**4,048.0**	**4,406.0**	**5,141.0**	**5,687.0**	**6,719.0**
Accumulated Depreciation	(1,208.0)	(1,616.0)	(1,981.0)	(2,452.0)	(2,772.0)	(3,245.0)
Net Non - Current Assets	**2,377.0**	**2,432.0**	**2,425.0**	**2,689.0**	**2,915.0**	**3,474.0**
Invested Capital	1,218.0	1,610.0	1,768.0	1,720.0	4,238.0	6,210.0
EBIT	1,801.4	1,332.5	1,725.6	2,919.5	3,731.8	3,993.2
ROIC	**147.89%**	**82.76%**	**97.60%**	**169.74%**	**88.05%**	**64.30%**
Calculation Reinvetment Rate						
Capital Expenditure						
Fixed assets purchased	(546.0)	(532.0)	(641.0)	(682.0)	(819.0)	(1,039.0)
Fixed assets sold	1.0	17.0	2.0	9.0	4.0	11.0
Net Capex	545.0	515.0	639.0	673.0	815.0	1,028.0
Change in Working Capital		337.0	165.0	(312.0)	2,292.0	1,413.0
EBIT	1,801.4	1,332.5	1,725.6	2,919.5	3,731.8	3,993.2
Marginal Rate	25.00%	25.00%	25.00%	25.00%	25.00%	25.00%
EBIT(1-Tax)	1,351.0	999.4	1,294.2	2,189.6	2,798.8	2,994.9
Reinvestment Amount		852.0	804.0	361.0	3,107.0	2,441.0
Reinvestment Rate		**85.25%**	**62.12%**	**16.49%**	**111.01%**	**81.50%**
				4 Year Avereage		**71.28%**
				4 Years Median		**81.50%**
Calculation Of Growth Rate						
ROIC	**147.89%**	**82.76%**	**97.60%**	**169.74%**	**88.05%**	**64.30%**
Reinvestment Rate	**-**	**85.25%**	**62.12%**	**16.49%**	**111.01%**	**81.50%**
Intrinsic Growth Rate		**70.56%**	**60.63%**	**27.98%**	**97.75%**	**52.41%**
				4 Year Avereage		**61.87%**
				4 Years Median		**60.63%**

EQUITY VALUVATION

Calculation of PV of Future Cashflow

Particulars	Mar-20A	Mar-21F	Mar-22F	Mar-23F	Mar-24F	Mar-25F
EBIT	**1,801.4**	**1,332.5**	**1,725.6**	**2,919.5**	**3,731.8**	**3,993.2**
Tax Rate	25.00%	25.00%	25.00%	25.00%	25.00%	25.00%
EBIT*(1-Tax Rate)	1,351.0	999.4	1,294.2	2,189.6	2,798.8	2,994.9
Reinvested Rate	81.50%	82.50%	83.50%	84.50%	85.50%	85.50%
FCFF	249.9	174.9	213.5	339.4	405.8	434.3
Mid Year Convention		0.5	1.5	2.5	3.5	4.5
Discounted Factors		0.922	0.784	0.667	0.568	0.483
PV of Future CashFlow		**161.3**	**167.5**	**226.5**	**230.3**	**209.7**

Expected Growth	**60.63%**
Terminal Growth	**5.38%**
WACC	**17.56%**

Calculation of Terminal Value

FCFF (n+1)	63.0
WACC	17.56%
Terminal Growth Rate	5.38%
Terminal Value	**516.8**

Calculation of Equity Value per Share

PV of FCFF	995.2
PV of Terminal Value	249.5
Value of Operating Assets	**1,244.7**
Add: Cash	263
Less: Debt	266
Value of Equity	**1,241.7**
No of Shares	27.43
Share Price Value	**45.27**
Share price	**7190**
Discount/Premium	**159x**